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Task Force on the Digital Economy
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Via email

Public Consultation Document – Addressing the Tax Challenges of the Digitalisation of the Economy

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1. Introduction

NERA is pleased to provide comments on the OECD Consultation Document entitled “Addressing the challenges of the digital economy” (the “Consultation Document”).

As a starting point, we believe that the OECD’s focus on an allocation of profits that reflects value creation is highly relevant and that the value chain analytical framework applies to all industries, regardless of the level of digitalization.

Yet, in the Consultation Document, neither the concept of value chain analysis nor its application to the increasingly digitalized businesses is sufficiently described and relied upon. In our opinion, a policy recommendation that relies on simplistic value attributions or formulaic approaches may lead to unfair, non-arm’s length allocation of profits and potentially open the door for abuse and increased controversy.

In industries characterized by oligopolistic market structures, it is unlikely that there is a unique industry-wide value chain. On the contrary, one would expect competing multinational enterprises to operate different business models and value creation processes, in order to differentiate themselves and enhance the value of their intangibles. Expecting that there are only a few industry-wide value attribution keys that would form the basis for tax policy is unlikely to lead to fair treatment of taxpayers.

Furthermore, the digital industry is particularly dynamic, with many industry participants unsure as to how business will be conducted in five or even three years. It would be hubris to assume that the international tax community could identify a single valid value attribution in the digital economy, much less implement it before it becomes outdated, provoking further inherent contradictions.

While we provide comments below on some of the proposals put forward by the OECD in the Consultation Document, we note that all of these proposals potentially include, to varying degrees, inconsistencies with the arm’s length principle as specified following the recent work of the OECD in the Base Erosion and Profit Shifting project. We believe that such inconsistencies are unfortunate. Over the past six years, the OECD and the international tax community have spent significant amounts of

¹ These comments represent independent views of the authors and do not necessarily reflect the views of NERA Economic Consulting

time and effort in order to ensure that the interpretation of the arm's length principle would be more robust and less prone to abuse. The OECD Transfer Pricing Guidelines, which were released in 2017, reflect this work, and we urge the OECD to continue to adopt principled approaches to establishing economic ownership rights to intangibles in the digitalized economy that are consistent with and foster arm's length transactions.

We believe that the work performed by the OECD regarding the allocation of risks and relating to intangibles (notably the DEMPE principles) can go a long way in successfully addressing many of the tax challenges of the digitalization of the economy.

Less than two years after significantly revised Transfer Pricing Guidelines have been released, the Consultation Document now opens the door to inherently non-arm's length proposals that may affect all industries. Contrary to the proposals described in the Consultation Document, the arm's length standard is an established, tested concept, the interpretation of which has been substantially enhanced recently. One should give the arm's length principle, as defined following the BEPS project, a chance.

Notwithstanding the above, we provide below our comments on some of the proposals described in the Consultation Document.

2. Comments on the User Participation Proposal

2.1. The Proposal

The "User Participation Proposal" envisions two central aspects:

First, it would introduce a special profit attribution rule that would only be applicable to companies in the digital economy (and to a certain part of their value creation); the rest of the economy would still be subject to the existing rules. We comment on this part of the proposal in section 2.2 below.

Second, the User Participation model would seek to attribute a certain proportion of the profits of such digital companies to "the user base" and seek to tax this profit in the jurisdiction of the user (as opposed the jurisdiction of the company's own economic activities). The proposal does not specify how the proportion attributable to the user base should be set up but suggests either a fixed percentage or a percentage based on some "quantitative/qualitative" information. The proposal would give the right to tax these profits to the jurisdiction where the users reside, even if the company itself does not have a taxable presence in that country. Since this is somewhat similar to the Marketing Intangibles Proposal, we comment on that in section 3.2 below.

2.2. Ring-Fencing the Digital Economy Could Mean Ring-Fencing the World

The “User Participation Proposal” seeks to be limited to the digital economy. We view such special rules with great skepticism, as a binary classification into “digital” and “traditional” businesses of every MNE is likely to lead to increased controversy and compliance costs. It is also already becoming increasingly difficult to draw a distinction between such models, as more companies introduce new digital business channels in addition to their traditional activities.

We therefore consider this as an artificial separation that is inconsistent with market trends. Digital transformation of traditional businesses is widely regarded as one of the most important current mega-trends, so hypothesizing a sharp distinction between traditional and digital companies for tax purposes seems unsustainable. Almost all industries try to capture the implications of digital business models for them, and many are moving to enhance or transform their products around connectivity and data-related activities. Many traditional companies already cross industries and will increasingly introduce and monetize user-based digital models.

It is not sustainable to isolate a few digital companies (generating their revenue primarily through user-based inter-relations) from the rest of the economy (for which the traditional functional view principles on transfer pricing would be preserved) as suggested under the User Participation Proposal. In our view it will be hardly manageable to simultaneously apply philosophically opposite transfer pricing principles (i.e., functional view and local sales territory view) at the same time, especially as traditional and digital sales operations will be tailored to cross-fertilize each other.

The artificial separation of the digital economy from an increasingly digitalizing economy will put stress on tax payers and tax authorities alike. In our view, the global tax system should strive for a consistent framework across industries and jurisdictions. “Special” rules that treat specific intangibles or specific industries conceptionally differently will increase complexity, compliance burden, and disputes. Since the rules would be fundamentally different, depending on whether a company is classified as “digital” or “traditional”, there would be significant incentives for both tax payers and tax authorities to debate the characterization of each company.

An arbitrary selection of “digital” business models to be taxed can lead to a limited applicability of this tax model as large MNCs will be able to restructure their operations or modify their business models to reduce their tax burden under this proposal. Conversely, mid-sized companies would struggle with the additional complexity should their company be characterized as, even partially, digitalized. Thus, the proposal could increase the entry barriers to digital business models, as tax payers would suddenly be subjected to a global residual profit in hundreds of countries if they start digital business models.

At best, the proposal will increase the compliance costs and scope of litigation while not offering a higher overall tax base. At worst, it could incentivize companies to refrain from any digital activities.

Section 3 below discusses the Marketing Intangibles Proposal. In this context, we have included a discussion of the features that the User Participation Proposal shares with the Marketing Intangible Proposal.

3. Comments on the Marketing Intangibles Proposal

3.1. The Proposal

The Marketing Intangibles Proposal requires splitting an MNE's global profits among market jurisdictions based on the premise that user and customer base associated marketing intangibles are developed and economically remunerated in the market jurisdictions. Importantly, this proposal is not intended to be applied to digitalized businesses only, but to a wider group of businesses, potentially covering all business to consumer industries.

3.2. Preserving a Common Ground

We note that the Marketing Intangibles Proposal – like the User Participation Proposal – potentially challenges the arm's length principle and the work conducted by the OECD as part of the BEPS project. We note that a departure from the arm's length principle could be harmful to the international consensus and potentially risks invalidating the standards reached. Moreover, we are critical towards a stipulated formulaistic value attribution, which would be in contradiction with the economic realities of the highly variable different digital business models that already exist.

Instead, we believe that a focus on DEMPE functions and Value Chain Analysis, if thoroughly applied, addresses many of the stated goals. The OECD has, in our view, rightly converged on the arm's length principle, "DEMPE" functions, and value chain concepts that seek to identify the specific economic activities of a firm regarding intangibles. There is a broad OECD and G20 consensus that taxation should be aligned with value creation.

The Marketing Intangibles Proposal - and the User Participation Proposal - potentially challenge the arm's length principle by attributing value not to any firm activity, but to the 'market country' where the users are located, even when no own economic activity of the firm is present in that country. Redefining value generation to include activities *outside* of a firm would risk the common references that the OECD has established. In particular, practitioners would face a lack of workable, authoritative concepts of "value" and "contribution" outside of the concept of the arm's length principle. Any deviation from the arm's length principle would need to be extremely precise and require robust definitions and a well-defined transactional context and consensus on the economic ownership of the identified intangibles, lest they trigger an age of tax uncertainty.

We also note that attributing profits to a geography without any economic presence of a firm would present a slippery slope. Many national economies rely heavily on certain industry sectors, and if special rules are introduced for one industry, it seems likely that further initiatives for other industries would follow. It can be observed that many industries rely on specific factors that might be claimed to be special enough that they warrant a specific transfer pricing treatment. For example, the financial industry relies strongly on access to financial exchange platforms, and many industries tend to be situated in hubs due to local concentrations of know-how and regulatory environments. Even by the example presented in section 34, one could argue that a fuel-efficient car engine has a significantly different local value, depending on the local fuel costs or environmental concerns. The arm's length

principle is an important common ground to address all these situations; weakening it would risk a range of special-rules that would make global trade more cumbersome and leave all countries potentially poorer.

3.3. Attributing profit beyond the arm's length principle in practice

In the Marketing Intangibles Proposal – as well as in the User Participation Proposal - the most critical step is to determine the split of residual profit between the parent's technology, marketing, strategy, business model, and other intangibles vis-à-vis the user created value. We note that neither proposal describes this critical step in detail, but that both proposals mention formulaic approaches for this step.

We note that a formulaic determination of the value of the user contributions would fail to capture the wide range of evident digital business models. Users assume a widely different role in social networks compared to search engines or platforms (where users might have two distinct roles of provider and consumer). Different companies, even within each category, may structure user interactions differently. Both companies and the industry as a whole are rapidly evolving and identifying a single formulaic percentage would be impossible. Thus, a formulaic approach will lead to over - or under - allocation of the overall value created by the enterprise to the “user contribution” in detriment to the value allocated to other value drivers in the digital businesses.

Profit allocations based on destination-specific value chain data and profit drivers are generally more precise, reliable, and consistent with arm's length pricing than are simpler formulaic approaches based on users, revenues, online usage, or similar proxies. Fractional apportionment methods, in particular, are capable of creating large divergences between value creation and tax incidence, and they should therefore be viewed with considerable caution.

Highly digitalized businesses have the capability to reach users and customers in many jurisdictions relatively easily and to generate revenues derived from these users and customers without any or at best limited local presence. The issue at hand is to determine whether there is value created by these users/customers and if so, how to quantify this value so as to enable taxation of this value in the market jurisdictions. In our view, such determinations should always be grounded on an analysis of value creation taking into account the DEMPE principles and based on related guidance in the OECD transfer pricing framework.

The proposal explicitly allows for remuneration of intangibles other than marketing and recognizes that not all of the income from marketing intangibles may be taxed in the market jurisdictions. It is stated that the split of profits attributable to marketing vs. non-marketing intangibles could be achieved using either cost-based methods or more formulaic approaches. As illustrated above, determining returns to destination-specific marketing intangibles is the most critical step of the proposed profit split method and, as such, any approach that does not derive from value creation and an analysis of the DEMPE functions may result in large divergences between value creation and taxation.

Accordingly, we view that the specifications described in Para 44 of the Consultation Document regarding the special allocation of some or all non-routine returns from marketing intangibles to the

marketing jurisdiction regardless of certain commonly encountered conditions² requires a delineation of economic ownership principles that distinguish fundamental location-specific intangibles, like user data, from complementary market development and data analytic intangibles that are not location-specific.

Moreover, given that this proposal is intended to apply to a broad range of businesses that are not necessarily digital businesses, but are consumer businesses that happen to have marketing intangibles, the provisions of Para 44 become even more concerning. Para 31 justifies allocating a portion of the return to marketing intangibles because “some marketing intangibles, such as brand and trade name, are reflected in the minds of customers and so can be seen to have been created in the market jurisdiction,” making this proposal applicable to almost all businesses, particularly to all businesses involving consumer brands. If a brand is popular in a given jurisdiction, it does not necessarily mean that the brand value is created by consumers in that market. Most MNEs have centralized marketing and brand development and management functions and assume the risks associated with these activities. Without a proper value chain and DEMPE analysis, which are potentially disregarded according to Para 44, it is difficult to determine the portion, if any, of returns to marketing intangibles that may be attributable to activities or consumers in a given market.

In our view, applying different transfer pricing rules and standards for different intangibles, whereby technology, R&D, and conventional marketing based profits are allocated based on the traditional functional view on transfer pricing, while certain marketing intangible profits are allocated based on market location principles, should require a thoroughly articulated rationale consistent with the arm’s length standard. Otherwise, it is easily predictable we will not avoid confusion, complexity, and increased controversy, which are contrary to the stated objectives of addressing the tax challenges of the digitalization of the economy.

4. Comments on the Significant Economic Presence Proposal

We understand that the Significant Economic Presence Proposal (“SEPP”) would consist of, simultaneously, (i) a modified rule to establish taxable presence and (ii) an allocation of profit based on a “fractional apportionment method”.

As acknowledged in the Draft, the sole modification of the taxable presence definition, without a profound modification of the profit attribution rules, would not result in any significant increase in taxable base in the jurisdiction of residence.

The profit attribution rules under the SEPP potentially depart from the arm’s length principle, perhaps substantially. In essence, the SEPP would result, in practice, in a relatively simplistic global formulary apportionment.

² Paragraph 44 states that the allocation of some or all non-routine returns from marketing intangibles to the marketing jurisdiction would apply regardless of (1) which entities perform and control DEMPE functions for these intangibles, (2) how risks related to the marketing intangibles would be allocated under existing transfer pricing rules, and (3) how the existing transfer pricing rules would ordinarily allocate income related to marketing intangibles and their associated risks.

We believe that such a system can easily result in distinctly non-arm's length results in terms of global allocation of the worldwide taxable corporate income. Even more so, we believe that such a system can easily be circumvented by MNEs, if they wish to do so (for instance by using independent agent as intermediaries).

5. Concluding remarks

We believe that the existing tools of the arm's length framework, including value chain analysis, should be utilized to determine whether the user-generated value exists in jurisdictions that do not perform any DEMPE functions of MNEs and the size of these effects. The framework needs to explain (1) how the different components of value creation in a digital platform business, including user data, user activities, data analytics, and general marketing, are distinguishable by location in the context of the associated advertising and sales activities in each given jurisdiction, and (2) how it could be applied on a case-by-case basis without imposing a "one size fits all" approach. In developing such a framework, additional work on understanding network effects, economies of scale, location specific advantages, and the application of profit split methods, may prove useful in developing pragmatic solutions that could be applied consistently within the framework of the arm's length principle.

We hope that the above is helpful.

Yours sincerely

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